Professions of a Short-Termer

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It is no coincidence that the two largest acquisitions in history had essentially the same ingredients. In each case, management had compiled a miserable long-term operating record. Equally important, a disenchanted shareholder stepped forward to serve as a catalyst for change.

In 1983 Gordon Getty and the trusts for which he had fiduciary responsibility represented the largest single block of Getty Oil stock. Dissatisfied with the meager returns received by the company's shareholders and the continuing depletion of oil and gas reserves, he orchestrated the $10 billion acquisition of Getty Oil by Texaco in early 1984.

I represented an investor group that became Gulf Oil's largest shareholder. Rather than consider the group's proposals to enhance shareholder value, Gulf ran into the arms of Chevron for $13 billion.

Before they lost their independence, Getty Oil and Gulf were case studies in unsuccessful long-term planning. Unable to find as much new oil and gas as they produced, they had entered a state of gradual liquidation. During the five years ending in 1983, Gulf depleted the equivalent of 400 million barrels of oil, or 22% of its domestic reserve base. Getty Oil lost 250 million barrels, or 14% of its domestic reserve base,